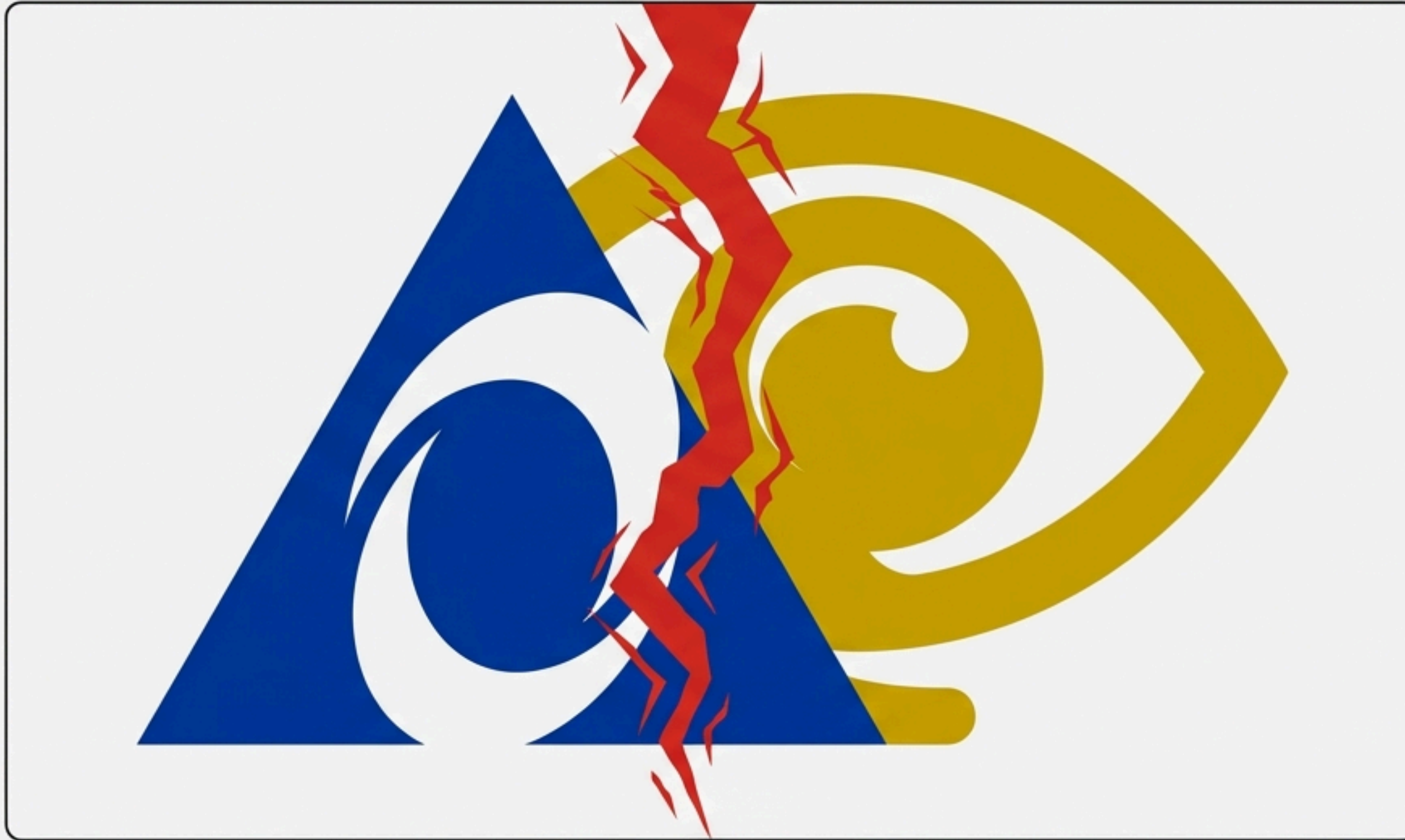


AOL Time Warner: Anatomy of a Financial Illusion

A Forensic Deconstruction of Accounting, Valuation, and Strategic Fit (Case A171)



Investment Verdict: Immediate SELL on Valuation and Structural Flaws

Alert Red

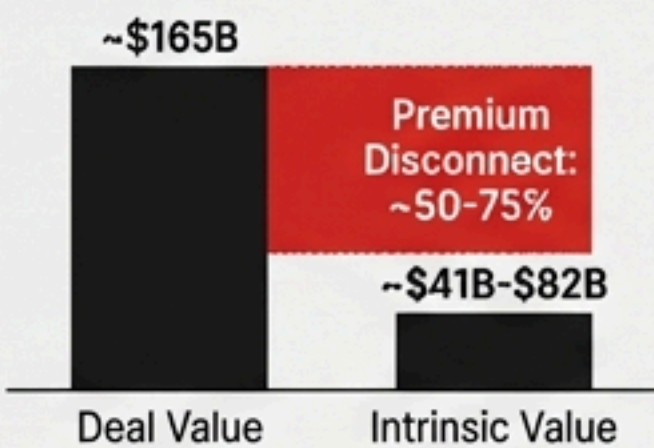
RATING: STRONG SELL

Target Price: \$28

Current Price: \$57

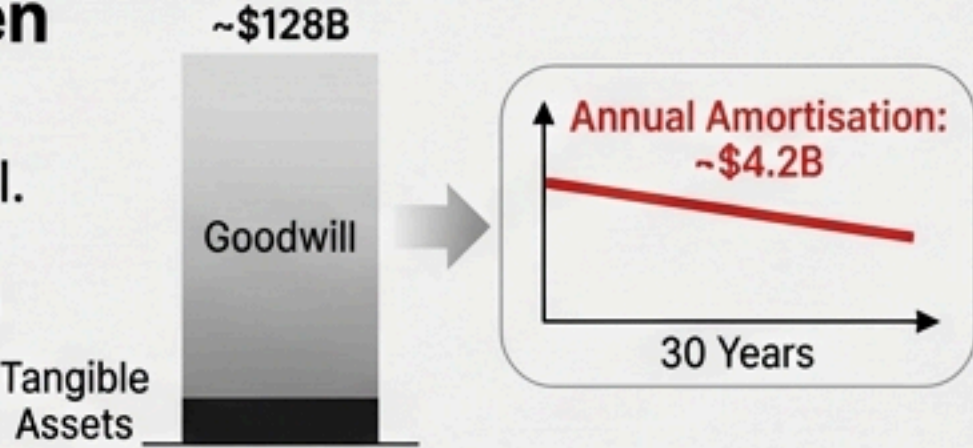
1. Excessive Premium

- Deal value ~\$165B creates massive disconnect. Intrinsic Value discount calculated at ~50-75%.



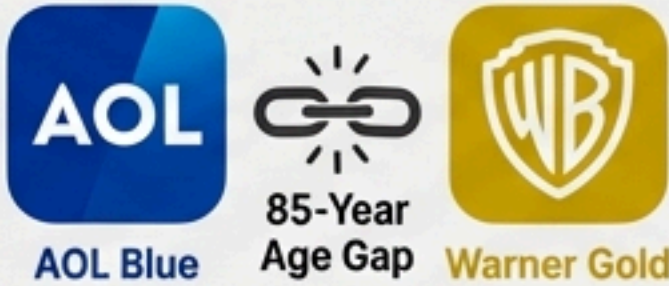
2. The Goodwill Burden

- Purchase accounting triggers ~\$128B in goodwill. Annual amortisation of ~\$4.2B will crush reported earnings for 30 years.



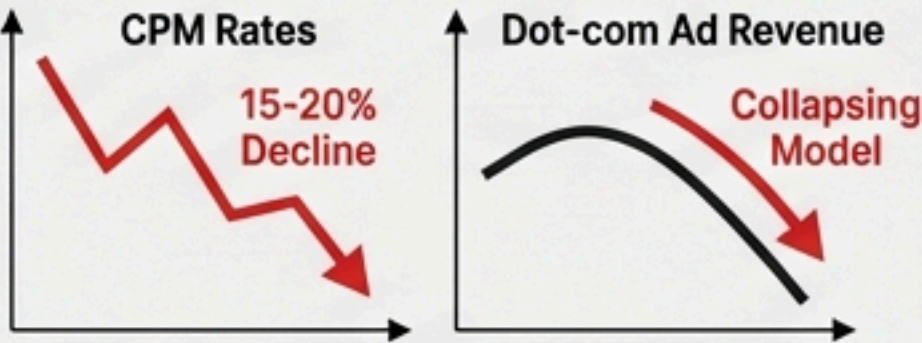
3. Integration Complexity

- “Oil and Water” culture clash (85-year age gap) and disparate IT systems make the \$1B+ synergy target highly unlikely.



4. Market Deterioration

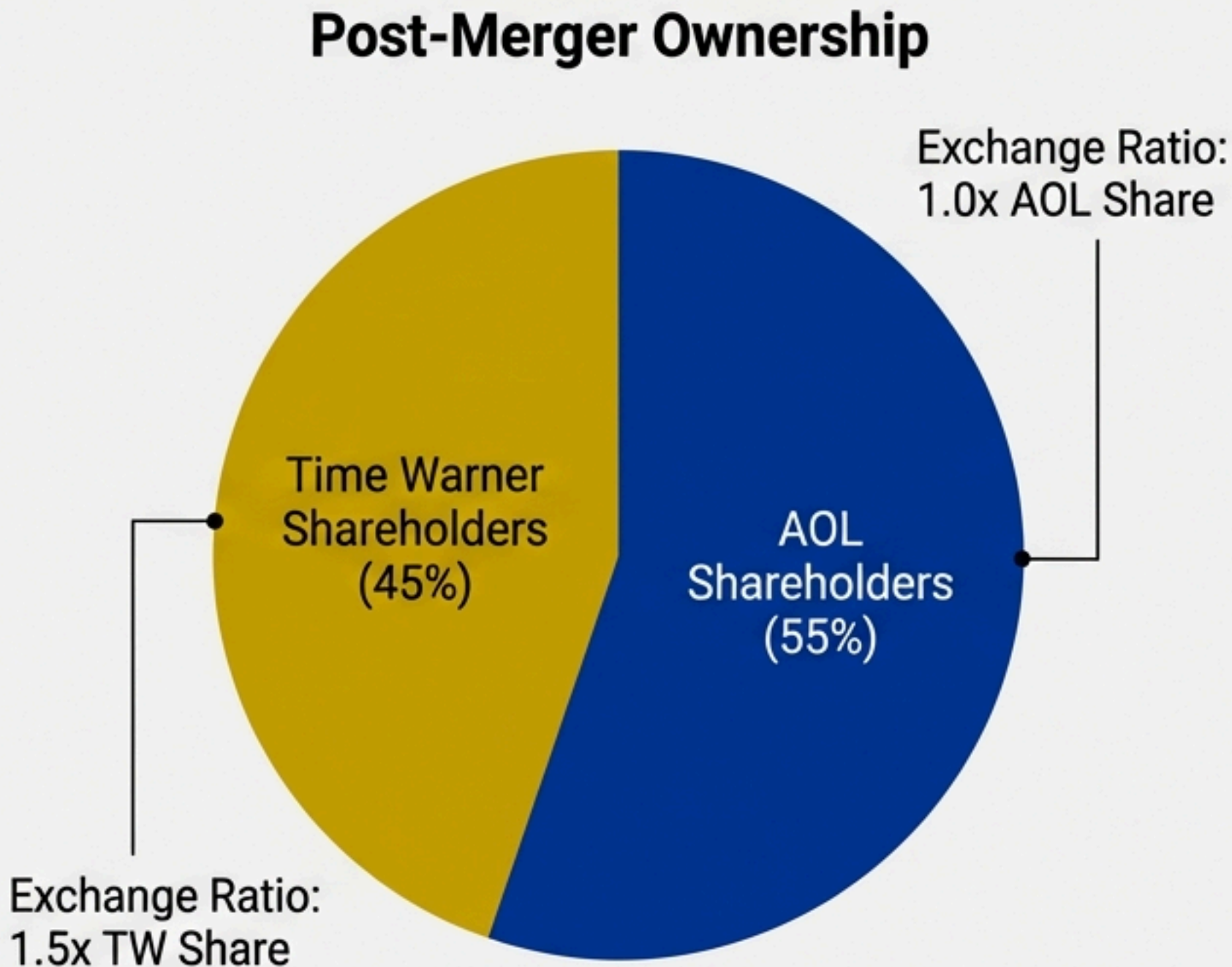
- Dot-com advertising model collapsing. CPM rates declining 15-20%, undermining the core growth thesis.



Insight: The market has priced in perfection based on a “Strategic Dream,” ignoring the “Financial Reality” of massive asset step-ups and non-deductible amortisation.



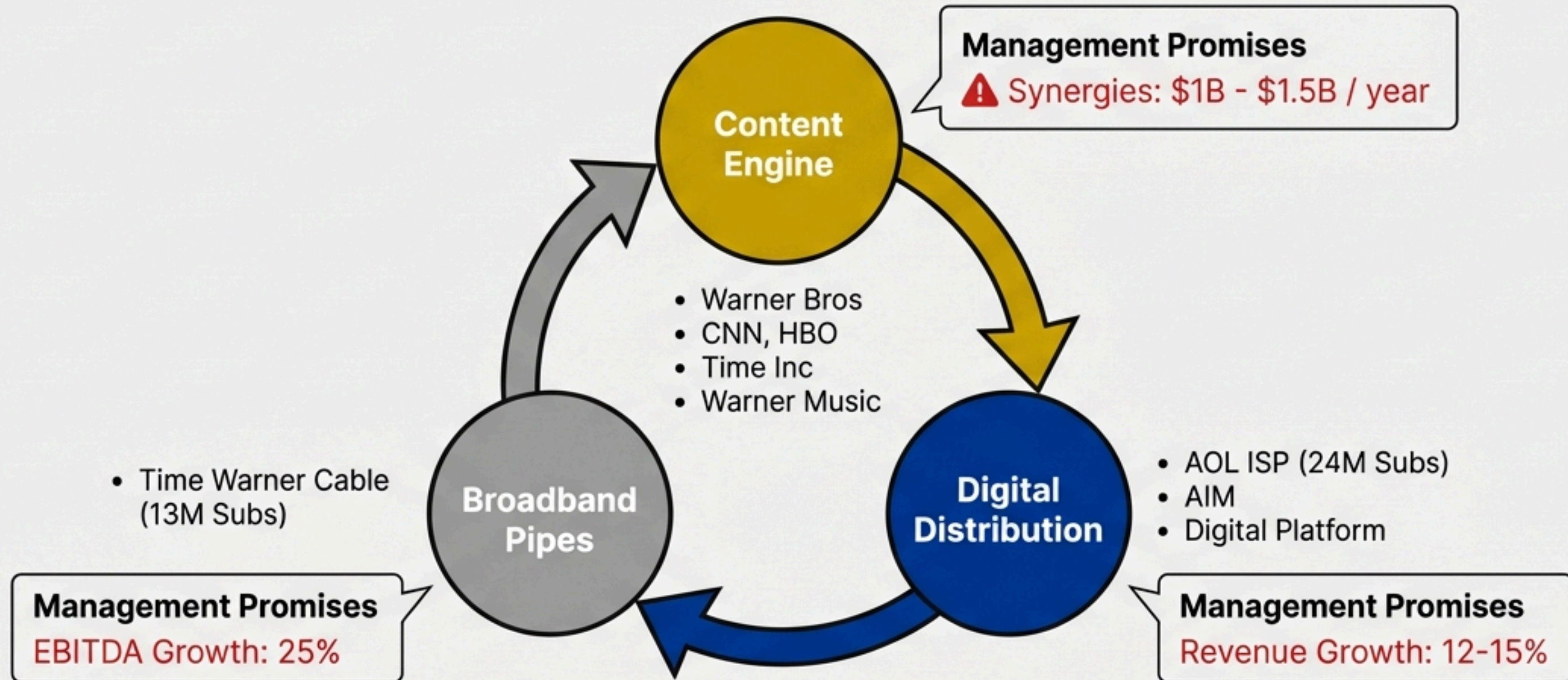
Transaction Overview: Using Inflated Currency to Buy Real Assets



Metric	AOL (Acquirer)	Time Warner (Target)
Revenue (1999)	\$5.7B	\$27.3B
Net Income/EBITDA	\$1.0B (Net)	\$8.5B (EBITDA)
Market Cap	~\$164B	~\$90B
Valuation Multiple	~160x P/E	~11x EBITDA

Insight: AOL is leveraging its 160x P/E ratio to acquire hard assets, but the resulting dilution and premium paid create a nearly impossible hurdle for return on invested capital.

The Strategic Thesis: Betting the Farm on 'Convergence'

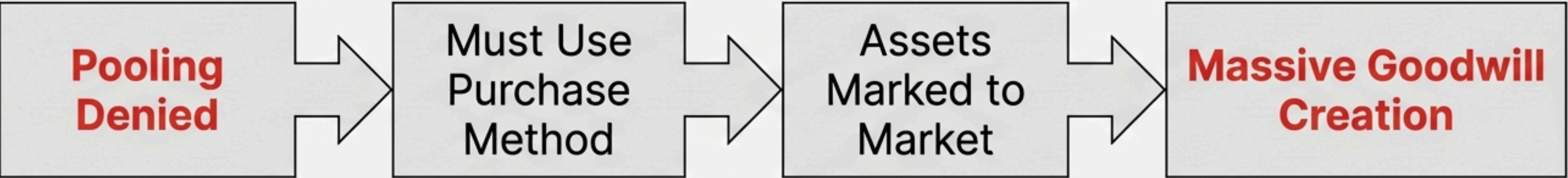


Insight:

The thesis assumes seamless cross-selling, yet relies on bundling content in a way that regulators and competitors are likely to challenge.

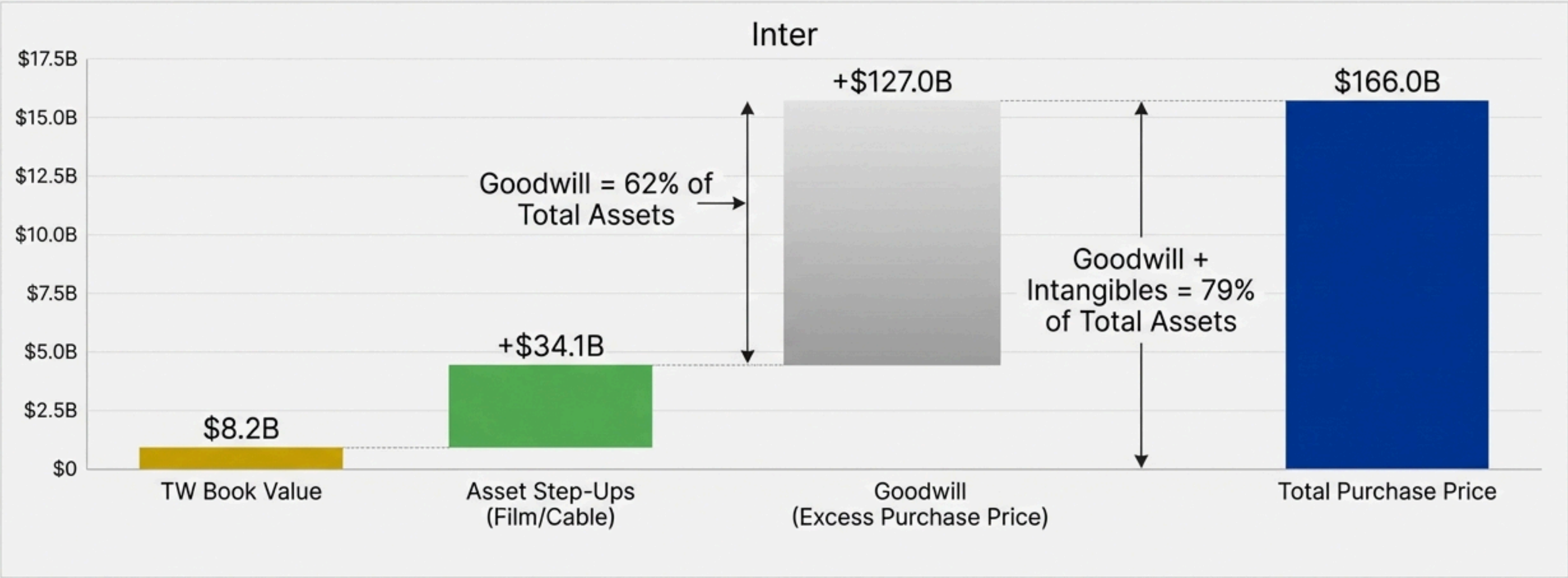
The Accounting Pivot: Why “Pooling” Failed and “Purchase” Applies

	Pooling Requirements (Ideal)	AOL TW Reality (Violation)
1	Simple Capital Structure	VIOLATION: Complex TW preferreds & partnerships ✗
2	No Planned Asset Sales	VIOLATION: Planned divestitures for debt reduction ✗
3	No Treasury Buybacks	VIOLATION: Stock repurchases in 2-year window ✗



Insight: Failing to qualify for Pooling is not just a technicality; it forces the recognition of massive goodwill, creating a permanent drag on reported earnings that Pooling would have hidden.

The \$127 Billion Burden: Calculating the Deal's Excess



The company is essentially paying \$127 billion for "future growth" that has not yet materialised. This asset sits on the balance sheet as a ticking time bomb for impairment testing.

The Earnings Drag: How Purchase Accounting Destroys the P&L

Pro Forma Income Statement

Operating Income (Pre-Amort)	\$2.8 Billion
Amortisation of Goodwill	-\$4.23 Billion
Interest & Tax	-\$3.3 Billion
Net Income (Loss)	-\$4.7 Billion

EPS Impact Analysis:

Operational EPS: \$2.85

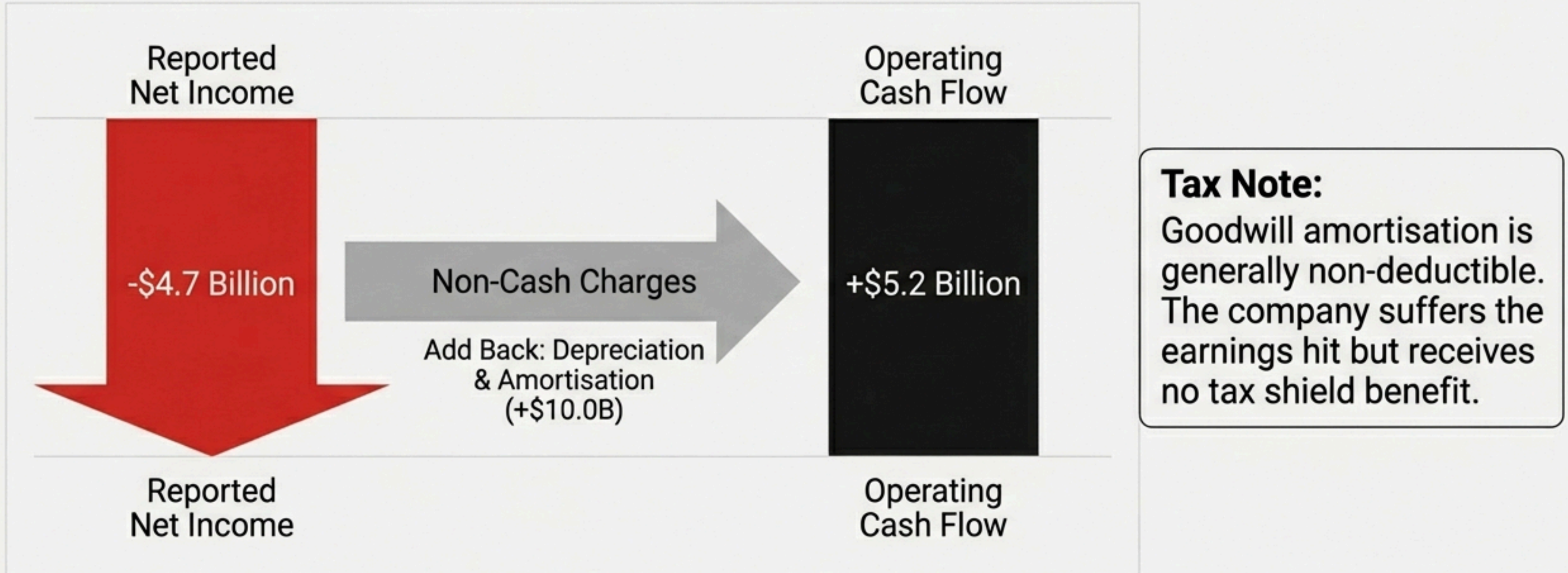
Less Amortisation: -\$0.94

Reported EPS: \$1.91

Total Drag: -\$0.94 / share annually

The accounting method alone swings the company from a hypothetical \$1.1B profit (under Pooling) to a \$4.7B reported loss. While non-cash, this creates negative headline earnings for the foreseeable future.

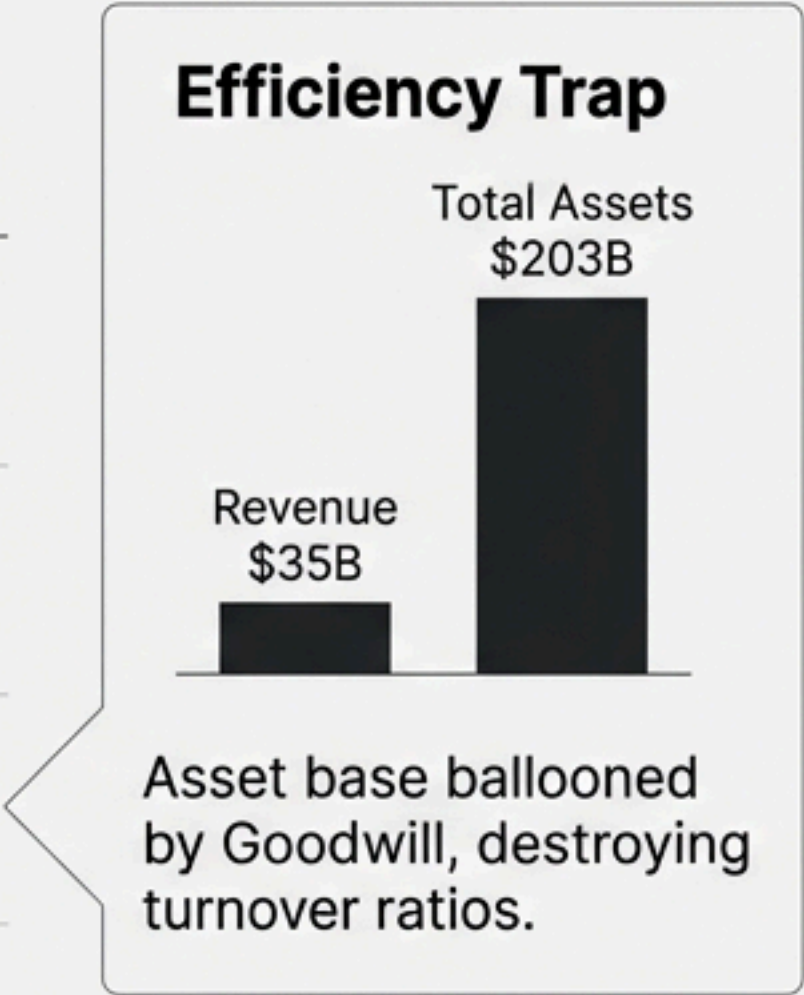
The Disconnect: Reported Losses vs. Operating Cash Flow



The business generates cash, but the massive divergence between Book Income and Cash Flow degrades the quality of earnings and complicates valuation based on P/E multiples.

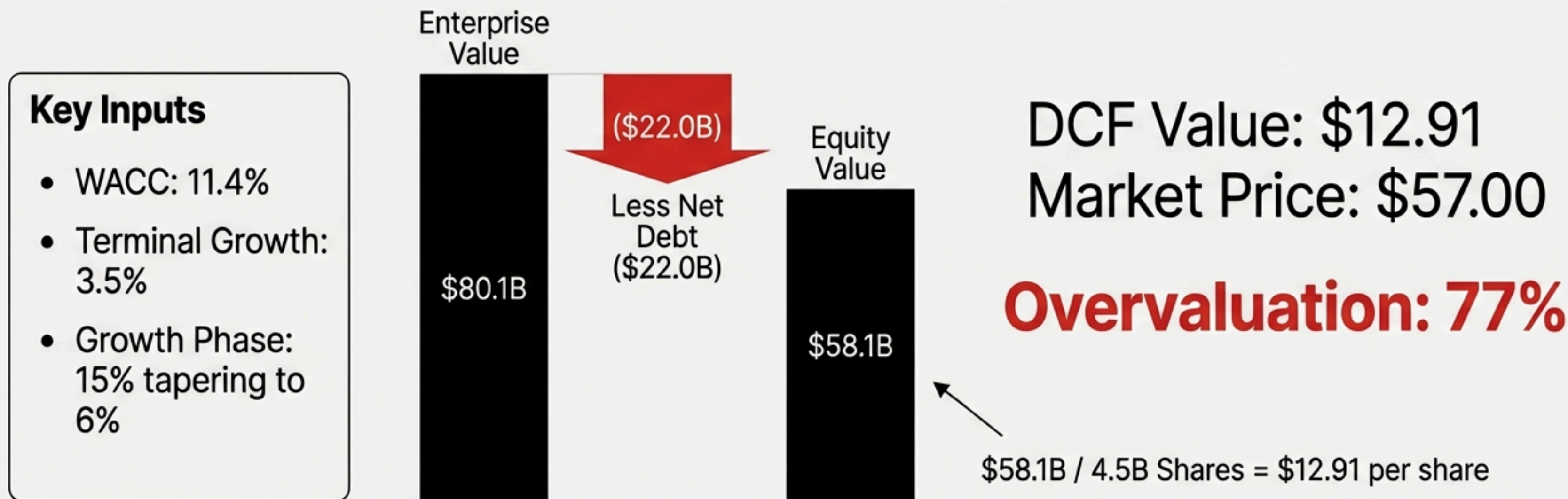
Financial Health: The Deterioration of Core Ratios

	Standalone (Weighted Avg)	Post-Merger (Purchase)
Return on Equity (ROE)	Positive	-3.5%
Return on Assets (ROA)	Positive	-2.3%
Asset Turnover	Healthy	0.17x



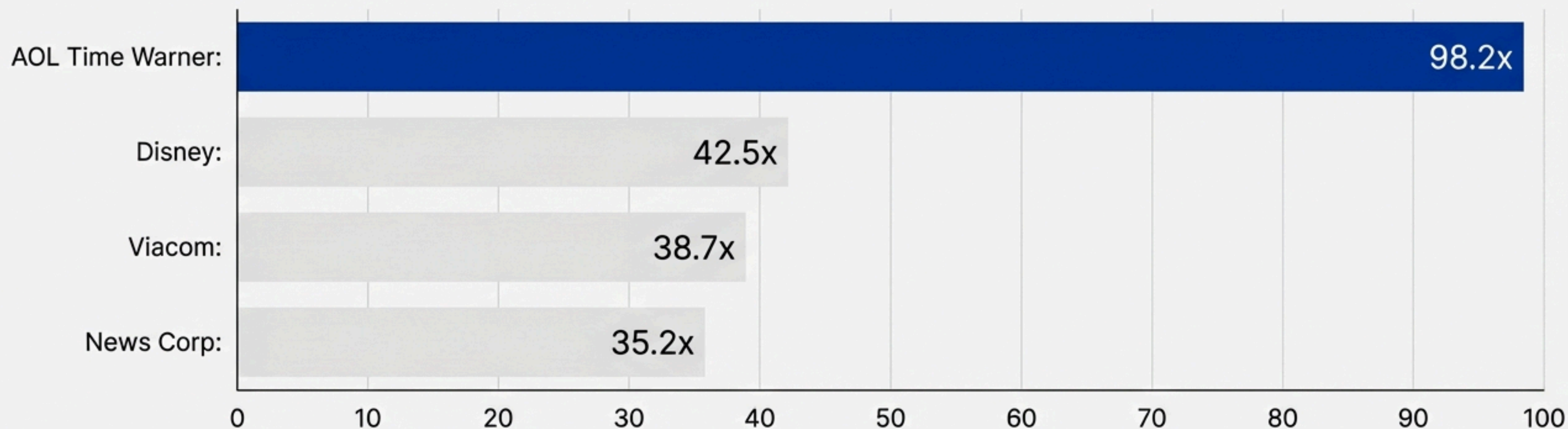
The bloated asset base creates an efficiency trap. To achieve a respectable ROA of just 5%, the combined entity would need to triple its Net Income immediately.

Intrinsic Valuation: The DCF Reveals a 77% Premium



Even assuming aggressive 15% growth for three years, the intrinsic value is a fraction of the current trading price. The market is pricing in growth rates that defy economic gravity.

Relative Valuation: An Unjustifiable Multiple

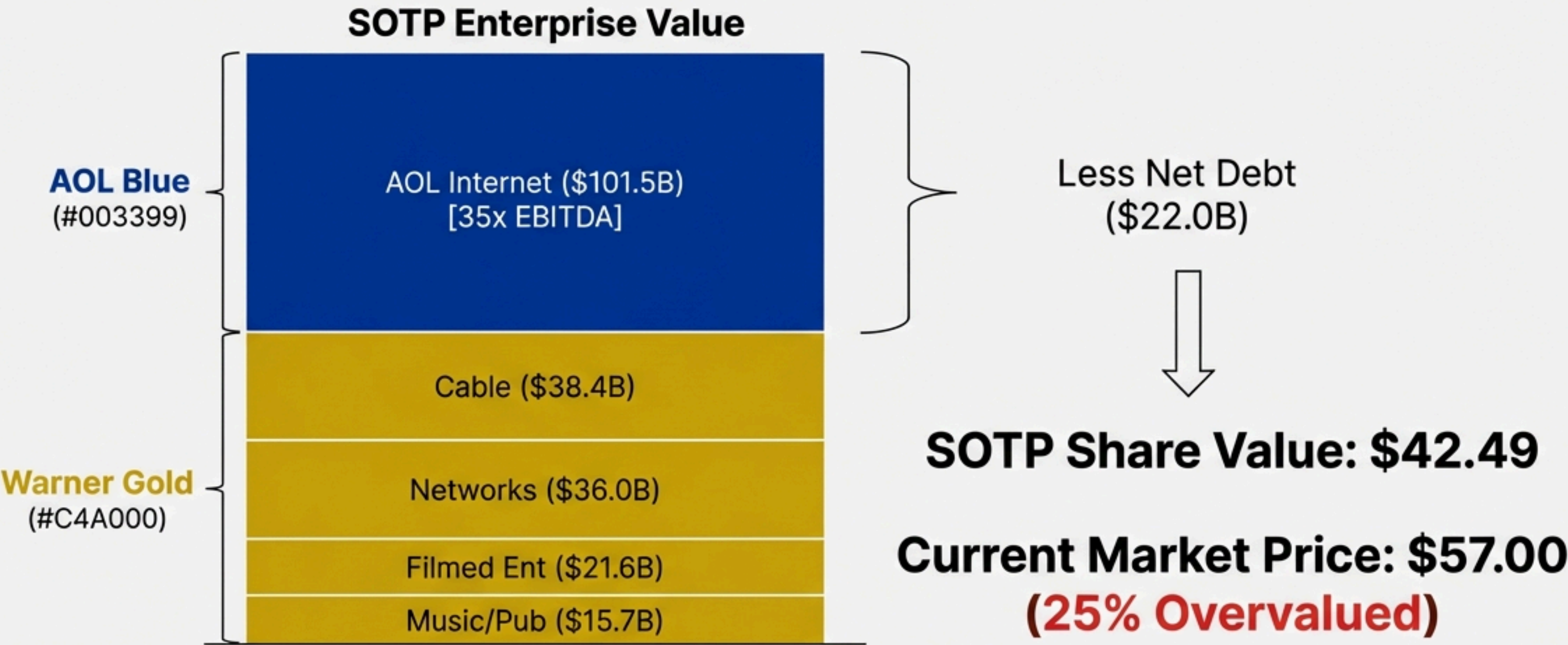


Precedent Transactions (Viacom-CBS, Vivendi-Seagram) occurred at ~16x EBITDA, implying an AOL TW price of just ~\$29.50.

Insight: P/E Ratio (Ex-Amortisation)

AOL TW trades at a 'Tech Premium' despite being weighed down by 'Old Media' assets.
A regression to the media peer mean implies a 50%+ downside.

Sum-of-the-Parts: The Whole is Worth Less Than the Price



Insight

Even assigning a bubble-era multiple (35x) to the AOL division, the sum of the parts is still 25% below the current share price. There is no “conglomerate discount” to unlock; there is a “conglomerate premium” to shed.

Operational Reality: The 'Oil and Water' Integration Risk



Time Warner

- Est. 1923
- Hierarchical
- Editorial Focus

Execution Barriers

- Co-CEO Structure (**75%** Hist. Failure Rate)
- Incompatible IT: 24M ISP Subs vs 13M Cable Subs
- Cost: \$1.5B - \$2.0B Integration Expense



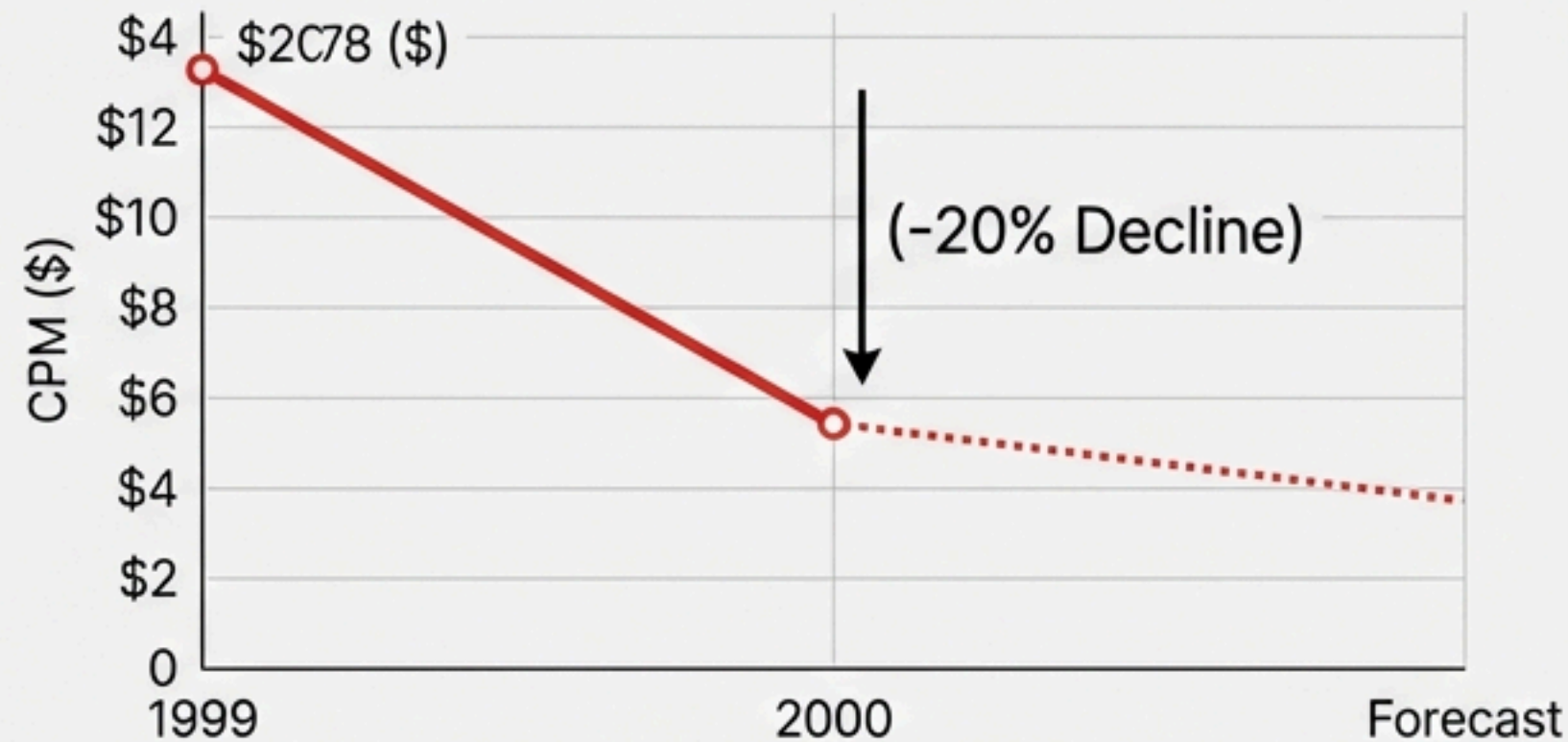
AOL

- Est. 1985
- Entrepreneurial
- Tech Focus

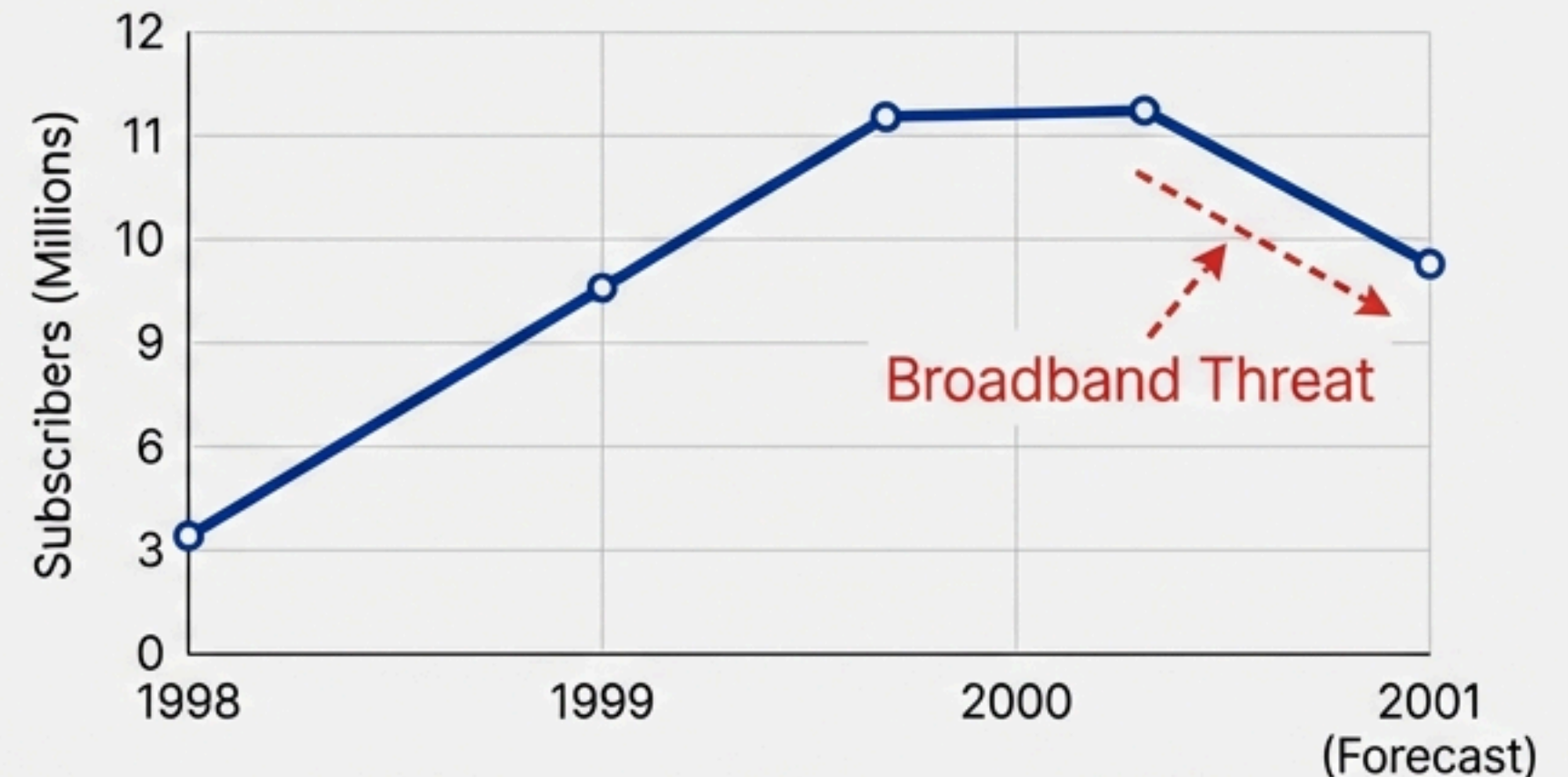
Cultural incompatibility is the silent killer of mega-mergers. The 85-year age gap between the firms suggests fundamentally different operating DNAs.

Market Headwinds: The Dot-Com Collapse

Online Ad Rates (CPM)



Dial-Up Subscriber Growth



- AOL Exposure: Ads = 20-25% of Revenue
- Dot-Com Bankruptcies: Accelerating
- Broadband: Open access threatens "Walled Garden" model

Insight

The 15% revenue growth target relies on an advertising market that is currently evaporating. As dot-coms fail, AOL's high-margin ad revenue will vanish.

Final Recommendation & Historical Post-Script

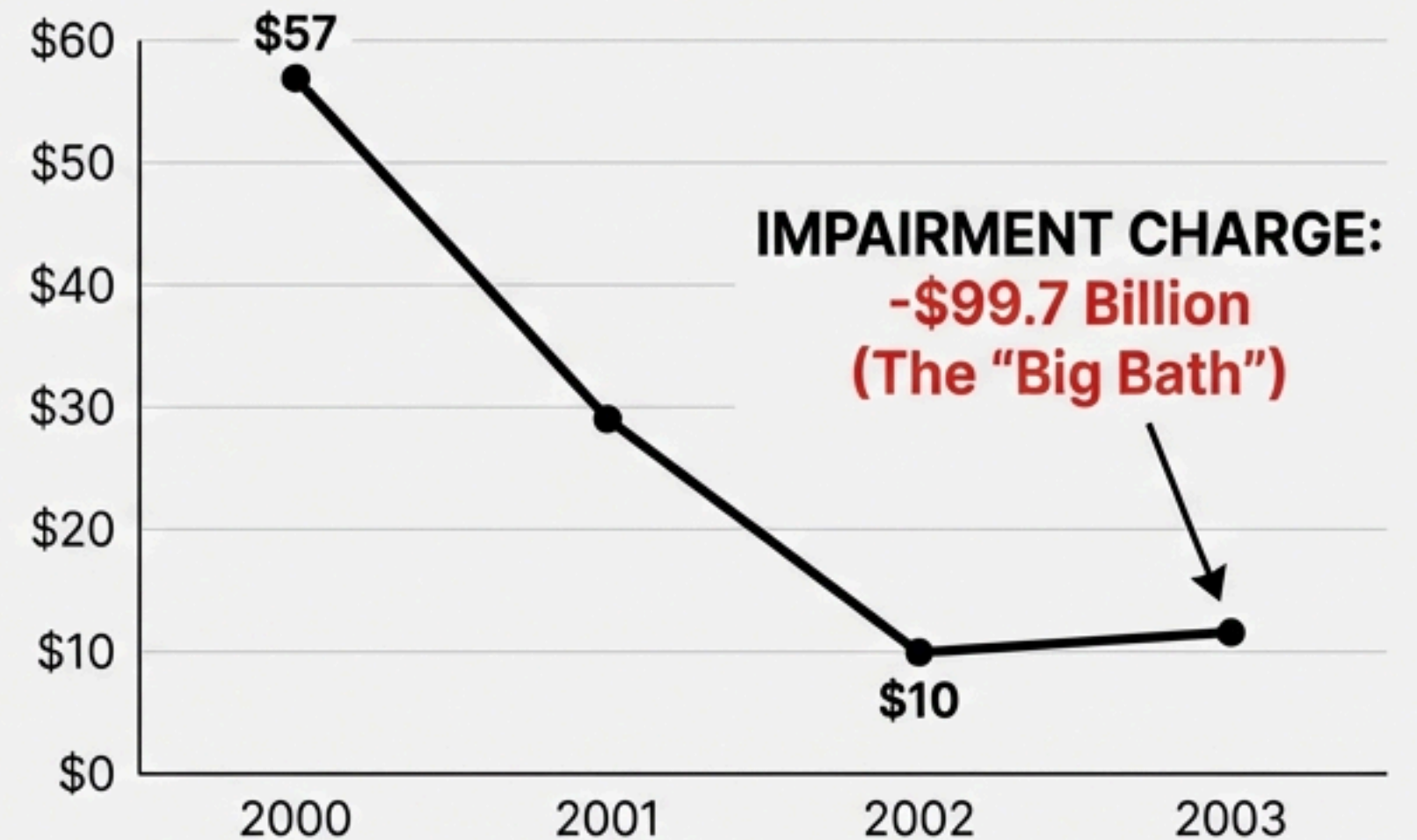
Inte Verdict

SELL / SHORT

Fair Value Range: \$23 - \$30

Logic: **117%** Valuation Premium
+ **\$127B Goodwill Risk**

The Aftermath (2000-2003)



"The deal of the century became the write-down of the century. Rigorous valuation and accounting analysis predicted this collapse when the market was blinded by hype."

Thank You